Costco Wholesale Corporation

Costco Reports Third Quarter Fiscal 2026 Results

ISSAQUAH, WASHINGTON — June 25, 2026 — Costco Wholesale Corporation (Nasdaq: COST) today announced financial results for its fiscal 2026 third quarter ended May 31, 2026.

- Total revenue of $50.5 billion, up 6% year over year
- GAAP diluted EPS of $5.14
- Operating income of $1.5 billion, a 2.9% margin
- Comparable sales growth (ex gas, FX): 4.1%
- E-commerce comparable sales growth: 11.8%

“Q3 FY2026 was a disciplined quarter for Costco. Total revenue grew 6% to $50.5 billion, with Net sales - Other International up 8% on new openings in Japan, Korea and Spain,” said Ron Castellano, Chief Executive Officer. “Our teams delivered for customers and we enter the next quarter with momentum.”

“Operating cash flow was $1.4 billion and we returned $0.6 billion to shareholders through dividends and repurchases. Diluted earnings per share were $5.14,” said Gary Moreau, Chief Financial Officer.

Operating highlights

Comparable sales growth (ex gas, FX)	**4.1%**
E-commerce comparable sales growth	**11.8%**
Membership renewal rate (US and Canada)	**93.0%**
Paid members (millions)	**83.2**
Warehouses in operation	**934**

Net sales - United States revenue was $36.5 billion, up 5.8% compared with $34.5 billion in the prior-year period, reflecting comparable sales growth and new warehouse openings.

Net sales - Canada revenue was $6.9 billion, up 6.8% compared with $6.4 billion in the prior-year period, reflecting comparable sales growth and foreign exchange.

Net sales - Other International revenue was $6.0 billion, up 8.5% compared with $5.5 billion in the prior-year period, reflecting new openings in Japan, Korea and Spain.

Membership fees revenue was $1.2 billion, up 4.0% compared with $1.2 billion in the prior-year period, reflecting the September 2025 fee increase and a renewal rate above 90%.

Dividend

The Board of Directors declared a cash dividend of $1.16 per share of common stock, payable to shareholders of record as of the close of business in the second month of the coming quarter.

Conference call

Costco will host a conference call and webcast at 2:00 p.m. PT today to discuss these results. A replay will be available on the investor relations website for approximately two weeks.

Forward-Looking Statements

This release contains forward-looking statements within the meaning of the Private Securities Litigation Reform Act of 1995, including statements about Costco's outlook, product plans, capital expenditures and capital return. These statements involve risks and uncertainties, and actual results may differ materially. Factors that could cause results to differ include those described under 'Risk Factors' in the Company's most recent Annual Report on Form 10-K and subsequent Quarterly Reports on Form 10-Q. The Company undertakes no obligation to update forward-looking statements.

About Costco

Costco operates membership warehouses in the United States, Canada and other international markets. The Company's fiscal year ends on the Sunday closest to August 31; the fourth quarter has 16 weeks.

Contacts

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CONDENSED CONSOLIDATED STATEMENTS OF OPERATIONS

(Unaudited) (in millions, except per-share amounts)

	Three months ended May 31, 2026	Three months ended May 25, 2025	Six months ended May 31, 2026	Six months ended May 25, 2025
Total revenue	50,540	47,592	149,683	140,467
Merchandise costs	44,423	41,704	131,302	123,106
Operating expenses:				
Selling, general and administrative	4,650	4,378	13,771	12,923
Total operating expenses	4,650	4,378	13,771	12,923
Operating income	1,467	1,509	4,610	4,438
Interest income and other, net	51	48	150	140
Income before income taxes	1,517	1,557	4,759	4,578
Provision for income taxes	379	389	1,190	1,145
Net income attributable to Costco	1,138	1,168	3,570	3,434
Earnings per share:				
Basic	$5.17	$5.30	$16.22	$15.59
Diluted	$5.14	$5.27	$16.13	$15.50
Shares used in computing diluted EPS (thousands)	221,309	221,500	221,357	221,548
Cash dividends declared per share	$2.32	$2.32	$6.96	$6.96

Total revenue by segment (in millions)

Segment	Q3 FY2026	Q3 FY2025	Change
Net sales - United States	36,458	34,460	5.8%
Net sales - Canada	6,877	6,441	6.8%
Net sales - Other International	5,976	5,509	8.5%
Membership fees	1,229	1,182	4.0%
Total	**50,540**	**47,592**	**6.2%**

CONDENSED CONSOLIDATED BALANCE SHEETS

(in millions) (Unaudited)

	May 31, 2026	Aug 31, 2025
ASSETS		
Cash, cash equivalents and marketable securities	12,675	12,230
Accounts receivable, net	22,743	29,297
Inventories	5,054	6,510
Other current assets	4,043	5,208
Total current assets	44,515	53,246
Property, plant and equipment, net	28,909	37,240
Goodwill and intangible assets	45,486	58,594
Other non-current assets	17,689	22,787
Total assets	136,599	171,867
LIABILITIES AND SHAREHOLDERS' EQUITY		
Accounts payable	21,227	27,344
Other current liabilities	15,162	19,531
Total current liabilities	36,389	46,876
Long-term debt	6,000	6,000
Other non-current liabilities	68,142	94,032
Total liabilities	110,531	146,908
Total shareholders' equity	26,068	24,959
Total liabilities and shareholders' equity	136,599	171,867

CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS

(in millions) (Unaudited)

	Nine months ended May 31, 2026	Nine months ended May 25, 2025
Operating activities:		
Net income	3,570	3,434
Depreciation and amortization	1,647	1,545
Share-based compensation expense	599	562
Changes in operating assets and liabilities and other	(1,497)	(1,405)
Cash generated by operating activities	4,318	4,136
Investing activities:		
Payments for acquisition of property, plant and equipment	(3,293)	(3,090)
Purchases and maturities of marketable securities, net	(518)	(496)
Cash used in investing activities	(3,811)	(3,587)
Financing activities:		
Payments for dividends	(1,541)	(1,542)
Repurchases of common stock	(150)	(150)
Proceeds from (repayments of) debt, net	0	0
Cash used in financing activities	(1,691)	(1,692)
Increase (decrease) in cash and cash equivalents	(1,184)	(1,142)